iv) Effect on profit earning capacity	It increases the profit earning capacity of the business.	It maintains the profit earning capacity of the business.	It is of benefit to the business for certain years.
v) Accounting treatment	It will appear on the assets side of the balance sheet.	It will be shown on the debit side of the trading and profit and loss account depending on whether direct or indirect in nature.	The amount written off during the year is shown on the debit side of profit and loss account and the unwritten off portion is shown on the asset side.

11.8 Capital and revenue receipts



Student activity

Think: A textile business sells some part of its unused land and receives the amount. Can it be considered as normal sale? Can it be shown in the trading account?

11.8.1 Capital receipt

Receipt which is not revenue in nature is called capital receipt. It is non-recurring in nature. The amount received is normally substantial. It is shown on the liabilities side of the balance sheet.

Examples

- Proceeds from issue of shares and debentures
- Long term loan raised from bank and other financial institutions
- Proceeds of sale of fixed assets
- Proceeds of sale of long-term investments
- Receipt of special donations

11.8.2 Revenue receipt

Receipts which are obtained in the normal course of business are called revenue receipts. It is recurring in nature. The amount received is generally small.

Examples

- Proceeds from sale of goods
- Interest on investments received
- Rent received
- Dividend from investment in shares.

11.9 Distinction between capital and revenue receipts

Following are the main differences between capital and revenue receipts:

Basis	Capital receipts	Revenue receipts
i) Nature	Non-recurring in nature.	Recurring in nature.
ii) Size	Amount is generally substantial.	Amount is generally smaller.
iii) Distribution	These amounts are not available for distribution as profits.	The excess of revenue receipts over the revenue expenses can be used for distribution as profits.

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